

3. A table of investments and returns must be created in chronological order over time.
4. The periods used when creating a table of investment and returns must be standard i.e., either use weeks or months or years but do not use a combination of any of these periods in the same table.
5. The IRR formula will give you the returns for the period used in the table i.e., if you have used months as the standard period for a particular table, the IRR formula will give you the returns per month.

Given below is an example of how IRR is actually calculated. In case you get confused or lost, don't worry. Do not hurry either. Read it again and then follow the example below to understand it. It is worth spending time and energy to prepare yourself for perhaps the most critical and rewarding journey of your life.

You will need to use these formulae quite frequently as you start dealing with more and more money and start comparing your returns from and across multiple investments.

Let us have a look at the example to see how we can calculate the IRR for Systematic Investment Plan (SIP)²⁰ based mutual fund investment.

Example 4

I invested varied amounts in Reliance mutual fund starting from 2007 till 2010 as per the following details: ₹6,000 in 2007, ₹20,000 in 2008, ₹30,000 in 2009 and ₹12,000 in 2010. The NAV of the invested amount as on 31st Dec 2010 is ₹101,800. On the other hand, I am getting a 15% rate of return in UTI mutual funds. I need to make a decision for investments in the coming year, 2011. Should I continue to invest in Reliance mutual funds in 2011 or should I switch to UTI mutual funds?

Solution 4: Calculating IRR